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23.12.2025

How to Calculate Income Tax for Non-Resident Sri Lankan Citizens

Many Sri Lankan citizens, including those with dual citizenship, who are not considered residents for income tax purposes (non-resident individuals), often inquire about the computation of income tax on their earnings derived from Sri Lanka. The following explanation is provided to clarify how their income tax liability is calculated.

1) Who qualifies as a non-resident individual for income tax purposes?

The Section 69(1) of the Inland Revenue Act, No. 24 of 2017 (as amended) (hereinafter referred to as “IRA”) states the individuals who shall be a resident in Sri Lanka for a year of assessment. They are the individuals who,

(a) resides in Sri Lanka;

(b) is present in Sri Lanka during the year and that presence falls within a period or periods amounting in aggregate to one hundred and eighty three days or more in any twelve month period that commences or ends during the year;

(c) is an employee or an official of the Government of Sri Lanka and his spouse is posted abroad during the year; or

(d) is an individual who is employed on a Sri Lanka ship, within the meaning of the Merchant Shipping Act, during the period the individual is so employed.

Accordingly, other than those individuals, all other individuals shall be considered as non-resident individuals.

Example 1: Mrs. Roshani Wickremasingha is an accountant working in Australia. She has been living there with her spouse and children in a rented apartment since 2020. Her children are studying in Australia, and her earnings are used for family expenses, with any remaining amount deposited in Australian bank accounts. Occasionally, she remits foreign earnings to her parents in Sri Lanka. Mrs. Wickremasingha also owns a home in Sri Lanka and has fixed deposits there, in addition to being a member of the School Old Girls Association.

Although she maintains a home, bank accounts, and association membership in Sri Lanka, her primary ties (such as her regular home, family, social life, and economic interests) are in

Australia. Therefore, Mrs. Wickremasingha is considered a non-resident for income tax purposes in Sri Lanka, given that her main family, social, and economic dependencies are in Australia rather than in Sri Lanka.

Example 2:

Mr. Nimesh Karunarathna received a foreign employment opportunity with a South Korean company. He obtained an employment visa for a two-year period and left Sri Lanka on June 5, 2024. As a result, he is considered as a non-resident individual for income tax purposes for the year of assessment 2024/2025.

2) Income Chargeable to Tax

The assessable income of non-resident individuals includes income earned from employment, business, investments, or other sources during the year, to the extent that the income arises in or is derived from a source in Sri Lanka. Furthermore, if a non-resident individual receives any final withholding payments during the year, they are required to fulfill their income tax liability accordingly.

3) Personal Relief

As per subsection (2) and (3) of Section 52 of the IRA,

(2) In arriving at the taxable income of an individual who is resident in Sri Lanka for a year of assessment under section 3, the aggregate reliefs referred to in the Fifth Schedule to this Act shall be deducted.

(3) In arriving at the taxable income of an individual who is not resident in Sri Lanka for a year of assessment but is a citizen of Sri Lanka under section 3, the relief referred to in paragraph 2(a) of the Fifth Schedule to this Act shall be deducted.

Therefore, non-residents but citizen individuals are entitled for the deduction of personal relief (Year of Assessment 2024/2025 = Rs. 1,200,000, Year of Assessment 2025/2026 and thereafter Rs. 1,800,000). However, they are not entitled for other reliefs (relief on rental income from an investment asset or relief for the acquisition of solar panels).

4) Final Withholding Payments

As per Section 88 (1A)(C) of the IRA, *interest paid to or treated as being derived by a non-resident individual who is a citizen of Sri Lanka:*

Provided however, the following interest amounts shall not be deemed as final withholding payments to such non-resident individual who is a citizen of Sri Lanka: -

- (i) *such amount of interest paid and falling within the relief threshold in paragraph 2(a) of the Fifth Schedule to this Act;*
or
- (ii) *such amount calculated by deducting the total of other sources of assessable income (total assessable income other than interest) from the relief threshold if the total of assessable income from other sources does not exceed the relief threshold.*

Accordingly, interest income earned by non-resident individuals who are citizens of Sri Lanka is generally treated as a final withholding payment. However, since they are entitled to personal relief, the portion of interest income that falls within the personal relief threshold is treated as part of their assessable income, while any excess is treated as a final withholding payment.

If a non-resident Sri Lankan citizen has other sources of assessable income, the statute allows the personal relief to be deducted from those sources first. In such cases, the interest income (either in whole or in part, depending on the level of assessable income) will then be treated as a final withholding payment.

**** Any payment derived by a non-resident individual who is not a citizen of Sri Lanka is considered a final withholding payment for income tax purposes.**

5. Examples for Tax Computation

Example 1

Mr. Upul Ekanayaka, who was born in Sri Lanka, has been employed in South Korea since 2022. His income details for the year of assessment 2025/2026 are as follows.

Employment Income – Salary and allowances received from employment in South Korea Rs. 4,932,650 (Foreign currency income converted to LKR)

Interest Income – Bank interest earned from deposits maintained in Sri Lanka Rs. 990,000 and USD deposit interest Rs. 345,600 (Foreign currency income converted to LKR)

Withholding tax (AIT) deducted on LKR deposit Rs. 99,000

Computation of his income tax payable for the Year of assessment 2025/2026 is as follows.

Employment Income

South Korea (Not within the income tax scope as a non-resident individual)	-
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Business Income

-

Investment Income

Interest - LKR Deposits		990,000
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Exempted Interest - FC deposit interest	345,600	-
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Total Assessable Income		990,000
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Less:

Reliefs

Personal Relief	(1,800,000)	(1,800,000)
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Qualifying Payments	-	
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Taxable Income		-
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Tax Computation

Tax Payable	-
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Less: Tax Credits

AIT on interest	99,000	<u>(99,000)</u>
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Balance Payable/ (Refund Claimed)		<u>(99,000)</u>
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Example 2

Mrs. Anuradhi Perera who was born in Sri Lanka, now live in Australia. Her income particulars are as follows. (Foreign currency income converted to LKR)

Employment income in Australia Rs. 9,852,360

Interest income from Australia Rs. 650,325

Rent income from Australian Property Rs. 3,450,680

Interest Income – Bank interest earned from deposits maintained in Sri Lanka Rs. 2,480,000 and USD deposit interest Rs.965,300

Withholding tax (AIT) deducted on LKR Deposits Rs. 248,000

Computation of her income tax payable for the Year of assessment 2025/2026 is as follows.

Employment Income

Employment Income

Australia (Not within the income tax scope as a non-resident individual) -

Business Income

-

Investment Income

Interest - LKR Deposits 1,800,000

Interest Income - Australia

(Not within the income tax scope as a non-resident individual) -

Rent Income - Australia

(Not within the income tax scope as a non-resident individual) -

Final Withholding Payment LKR Deposits 2,480,000-1,800,000 =680,000

Exempted Interest - FC deposit interest 965,300

Total Assessable Income 1,800,000

Less:

Reliefs

Personal Relief (1,800,000) (1,800,000)

Qualifying Payments -

Taxable Income

-

Tax Computation

Tax Payable -

Less: Tax Credits

AIT on interest (Non-final part) (248,000-68,000) (180,000) (180,000)

Balance Payable/ (Refund Claimed) (180,000)

Example 3

Mr. Suhail Mohedeen who was born in Sri Lanka now live in Canada. His income particulars are as follows.

Rent income from property in Sri Lanka Rs. 4,800,000

Repair expenses Rs. 320,000, Rates Rs. 80,000 and Maintenance Rs. 62,000

Interest Income – Bank interest earned from LKR deposits maintained in Sri Lanka Rs. 1,325,000

Withholding tax (AIT) deducted Rs.132,500

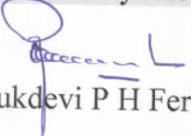
Computation of his income tax payable for the Year of assessment 2025/2026 is as follows.

Employment Income	-
Business Income	-
Investment Income	
Rent Income -Gross	4,800,000
Less: Expenses	
Repair 320,000	
Rates 80,000	
Maintenance 62,000	(462,000)
	4,338,000
Final Withholding Payment	Interest 1,325,000
Total Assessable Income	4,338,000
Less:	
Reliefs	
Rent Relief (Not entitled, as he is a non-resident)	
Personal Relief	(1,800,000)
	(1,800,000)
Qualifying Payments	-
Taxable Income	2,538,000

Tax Computation

1,000,000	X 6%	60,000
500,000	X 18%	90,000
500,000	X 24%	120,000
500,000	X 30%	150,000
<u>38,000</u>	<u>X 36%</u>	<u>13,680</u>

2,538,000	433,680	
Tax Payable		433,680
Less: Tax Credits		
AIT on interest (Full amount on final withholding payment, no tax credit)		-
Balance Payable		433,680


Rukdevi P H Fernando

Commissioner General of Inland Revenue

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